

Can India Do It? Some Hard Facts

- India currently produces approximately 80 million LED lights (in organised and unorganised sectors) per month. That is around 960 million LED lights in a year!
- Most of these LED lights are assembled within the country
- Several companies are still manufacturing conventional lights (approximately 400 million per year)
- An ecosystem for manufacturing components required in LED lights does not exist in the country
- Smart lighting is one of the biggest opportunities India can focus upon
- Exporting to countries in the African continent can be a big opportunity
- Rural markets, within the country, are the next big opportunity
- Investments in R&D, design and component manufacturing are need of the hour
- Government will have to play a bigger role in the form of levying duties and taxes on imports to promote India-based manufacturing of components and finished goods

the IT vertical is another big challenge.

India, when it comes to assembling these, falls at the top of the value chain. However, to call India a manufacturer, the country will have to graduate in terms of a lot of things ranging from ICs, modules, and every other component that goes into manufacture of LED lights.

"Data estimates are that around 50 million LED bulbs are produced in India every month in the organised sector, and production of around 20 million LED lamps takes place in the unorganised sector. But the opportunity ahead can be assessed from the fact that about 400 to 500 million conventional lamps are still being produced in India," says Kumar.

He further explains that, while we may be sufficient in producing as per present requirement and forecast for the near future, India still needs to build capability to produce components for which it depends on other countries. He points out towards thermal and optics components as two examples where the country needs to build its capability in particular.

"Three aspects which the LED industry should focus on right now are R&D, design studios, and components side. While the first two are industry extensive, the third one is where the government will have to step in to make India a hub of LED lights manufacturing," says Bhatnagar.

Parag, giving example of recent PLI scheme for manufacturing mobile phones, explains that something of similar nature is needed for India's LED lighting industry. Offering incentives, as per him, to the players falling in the LED lights ecosystem can

make a huge difference in the industry. It is to be noted here that the PLI scheme for mobile phones offers four to six per cent incentive for mobile phone makers calculated on the basis of incremental sales per year.

How to produce LED lights for the world

Mukherjee advocates that both the public sector as well as private players will have to play equal roles to make India a hub of LED lights manufacturing. The LED lights market in India, pointed out by Arpit Chhabra, CEO, IoTfy, is fragmented and price insensitive. The first step towards making India a global hub of manufacturing LED lights should be in the direction of disciplining the market.

"We will have to start with consumer awareness campaigns focusing on educating the consumer about the bad effects of using non-up-to-the-mark LED lights. These campaigns need not boil down to the price factor every single time. Not just buying the product, the consumer needs to

understand the overall cost associated with owning a bad and a good LED product," he explains.

The next step, as Parag explains, should be introducing standards in LED lights that are compliant with the standards that are acceptable on the global level. It is to be noted here that the new BEE standards for LED lights are set to come in effect from January 2021.

Building a robust components ecosystem in India should be the first focus as per Arun. It is the components that decide the quality of LED lights manufactured, and it is the quality of products which defines whether these would be accepted and entertained on a global level or not.

"It's great to see that India-based players can assemble millions of LED lights in the country. But if we are to become a global hub of manufacturing LED lights, we will have to be very strict in terms of the quality of components that we use. The best way to do the same will be to develop a robust ecosystem of component supplies in the country itself," opines Kumar.

The governments will also have to ensure that manufacturers follow all the BIS and BEE norms stringently. There have been products in the market which have promised something and offered something else. Arun explains that such products, once exposed, do not just create a negative image of the brand but also for the whole country.

Cheap imports of LED lights by the unorganised sector, as per the leaders from the lighting industry, are hurting India's economy already. These also carry the danger of creating a negative

